He found that the stock was in a bull market (good) with a rising S&P 500 index (good); the breakout was in the middle of the yearly price range (bad); and the pattern was short and wide (good). The commodity channel index (CCI) issued a buy the day before the breakout, but the relative strength index (Wilder RSI) remained neutral. In short, he faced a mixed technical picture.

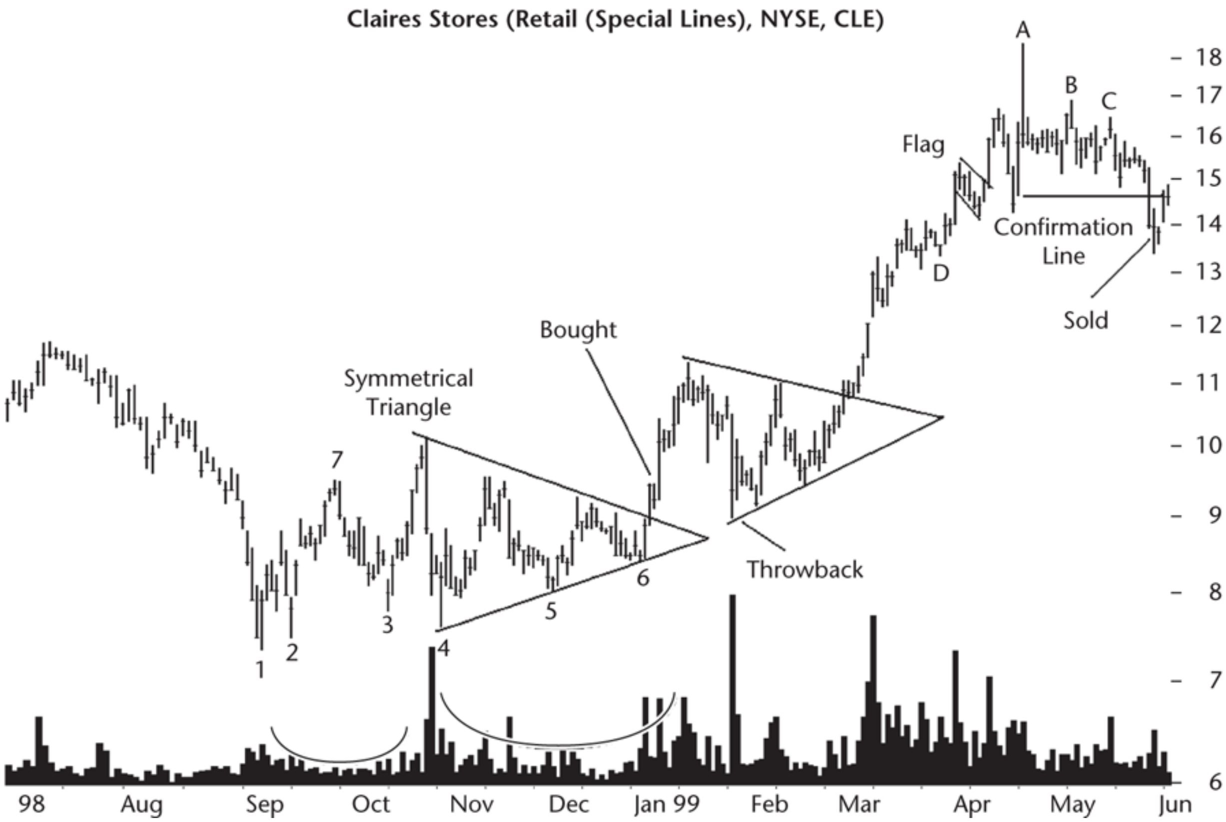

Figure 63.5 A three rising valleys pattern turned into a symmetrical triangle. As described in the Sample Trade, Joshua sold the stock when it started sinking lower with technical indicators showing divergence.

“I used the trendline break to signal an entry.” When price closed above a trendline, connecting the peaks in the pattern, he bought and received a fill at 9.20.

He used the measure rule to predict a price target and came up with 11.66, the same height as the July top (far left). If he sold at that price, he would make 27%. Just below that was a solid line of resistance from March to May 1998 (not shown), at a price of 10.80 and rising to about 12. He suspected that the resistance zone would cause a throwback.